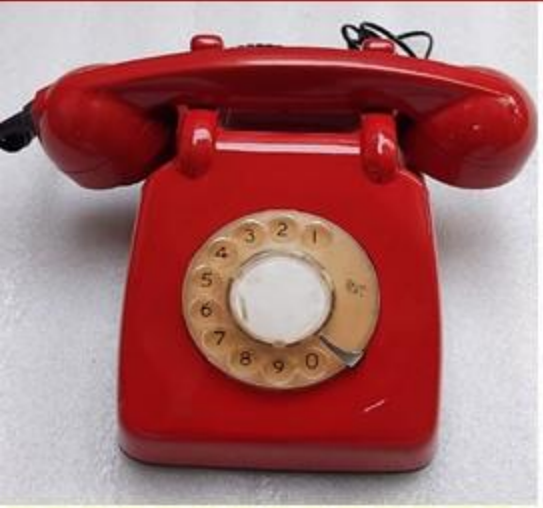
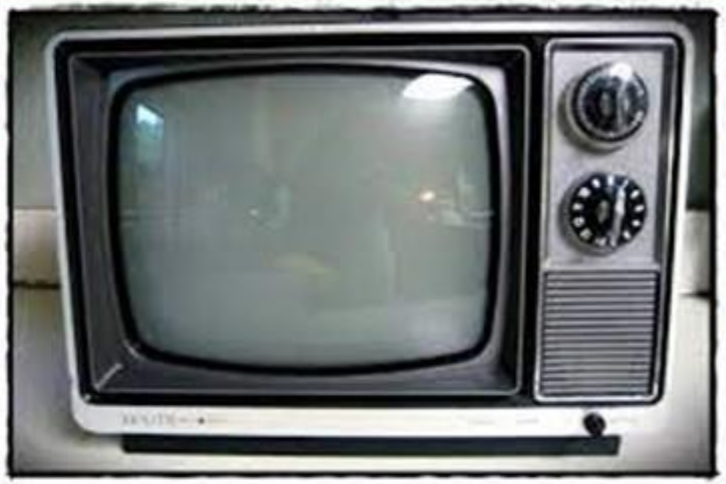
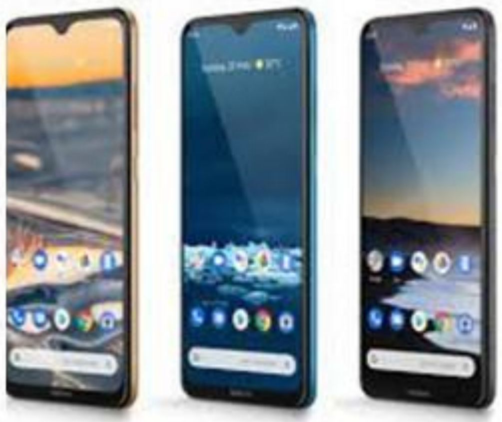
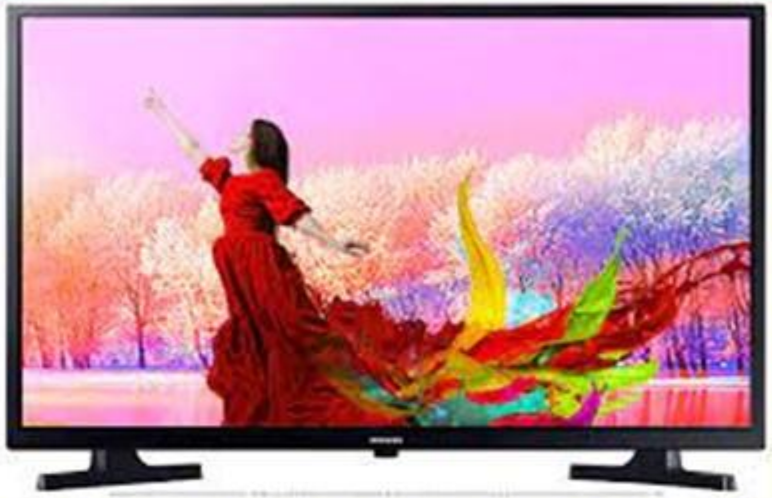
INDIAN ECONOMY

LEVEL II







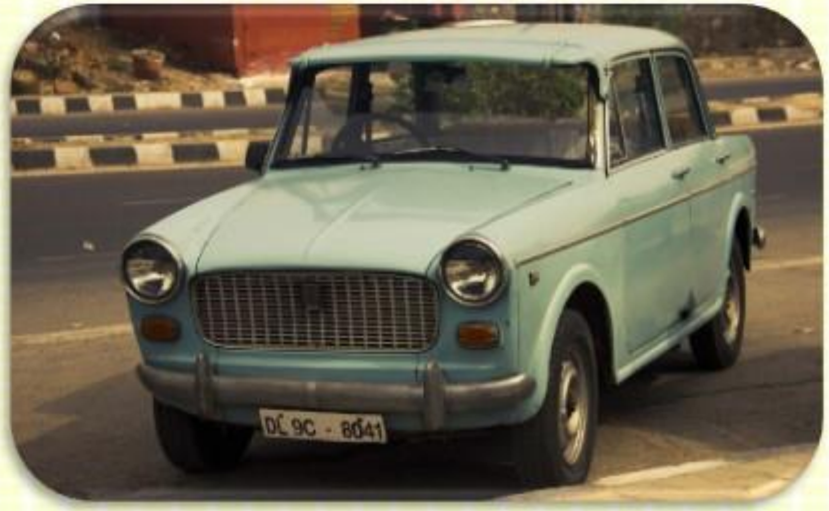


LECTURES

30 YEARS FOR ECONOMIC REFORMS, 1991 – PART - I

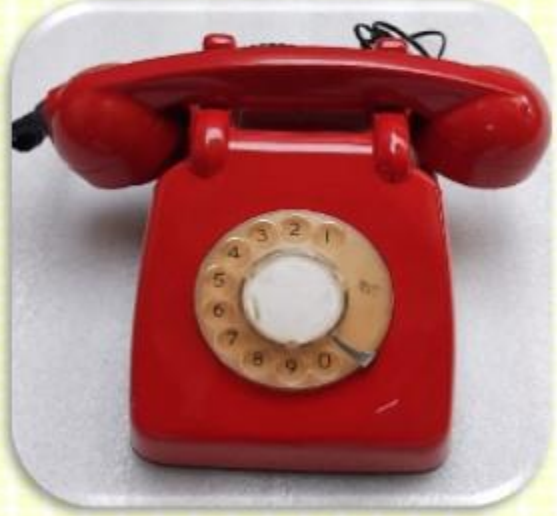
MODULE - 39

Learning Space



SEE THE SCENARIO PRIOR TO 1990s!

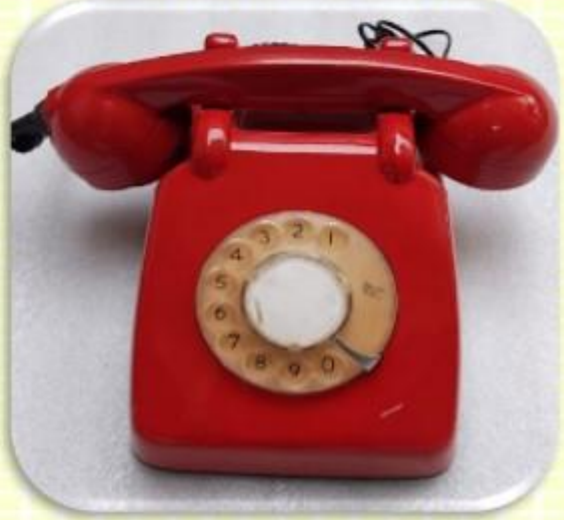
- It took years, to get a telephone or a LPG connection.
- India in those days had the luxury of just three brands of soaps, and two brands of shampoos, to choose from.
- It is quite common for people to smuggle low-end cameras and tape recorders from the foreign countries. Only the super rich had colour TVs.
- A booking for a Vespa scooter or a Premier Padmini car could be traded like a security receipt!



GOVERNMENT CONTROLLED ALMOST EVERY ASPECT OF LIFE TILL 1990s!

1 LICENCE-PERMIT RAJ

- Government dictated what should be produced, where it should be produced, and how much should be produced!
- The presumption was scarce resources will be frittered away to produce non-essential things, like lipstick.



2 FOREIGN TRADE AND FOREIGN INVESTMENTS CONSIDERED EXPLOITATIVE!

- National interest is best secured through self-reliance.
- Producing everything we need ourselves with domestic investment and by deploying home grown technology was the mantra of self-reliance.

3 INVESTMENT IN THE PUBLIC SECTOR

The belief was that the private sector, driven by profit motive, will undermine the public interest.

Learning Space

WHAT WAS THE ULTIMATE OUTCOME?

- Venal and overlording bureaucracy
- High-cost and low-quality goods and services.
- An economy that remained locked into backwardness.

REFORMS OF 1991 DISMANTLED THIS!

This deeply entrenched state controlled economic system was dismantled in one stroke by the reforms of 1991.

"The difficulty lies not so much in developing new ideas, as in escaping from old ones" – *JOHN MAYNARD KEYNES*

FOREIGN EXCHANGE CRISIS OF 1990 …
THE ULTIMATE TRIGGER FOR 1991 REFORMS!

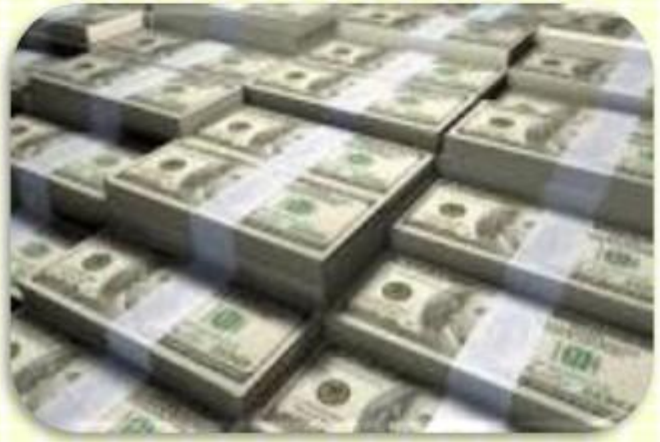
WHAT WERE THE REASONS FOR THE FE CRISIS?

- Saddam Hussein of Iraq invaded Kuwait. Subsequently, oil prices spiked.
- NRIs pulled out their investments.
- Remittances from Gulf Countries dried-up.

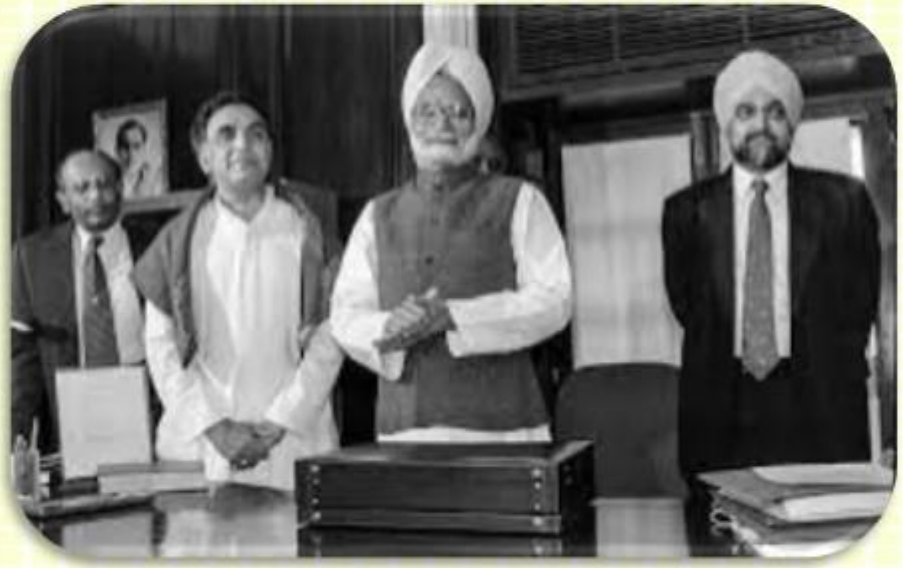
Due to the above reasons, Forex reserves plummeted to the rock bottom.

INDIA WAS IN DIRE STRAITS!

- The Government was borrowing from Japan in the morning and repaying IMF in the afternoon, just to avoid default.
- Parallelly, India was also negotiating a bridge loan to tied over the Balance of Payments, until the IMF arrangement could be finalized.

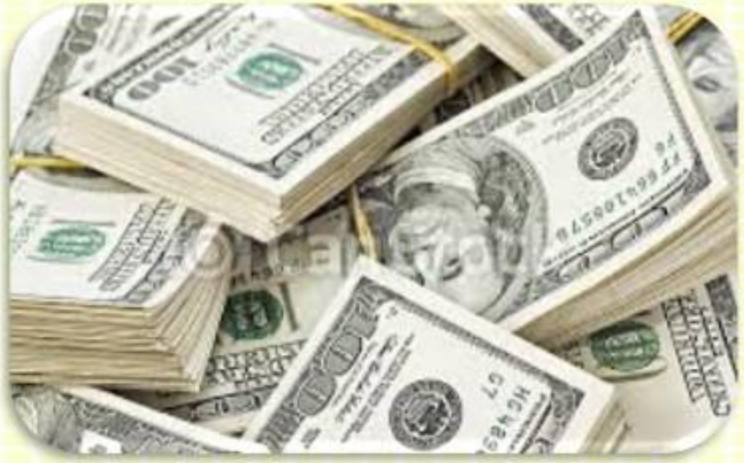


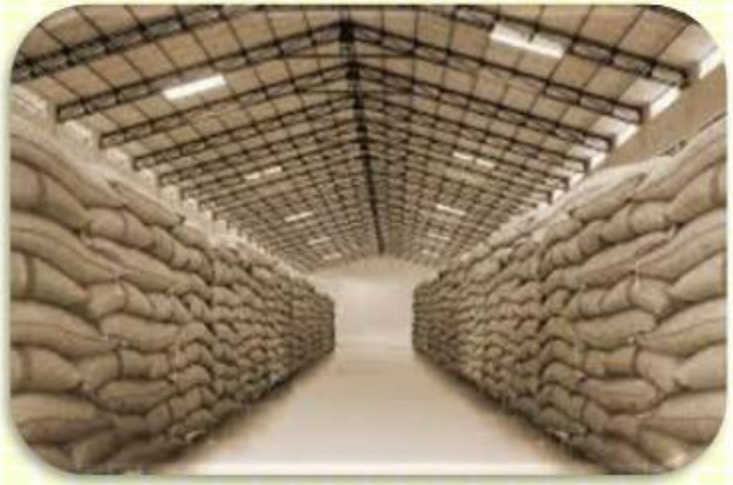
BUDGET SPEECH OF DR. MANMOHAN SINGH ON 24 JULY, 1991 REVEALED THE STRUCTURAL PROBLEMS IN THE ECONOMY!



- He said that the severe Balance of Payments crisis that had taken India close to international default earlier that year was not a temporary funding crunch. It was the symptom of a deeper malaise.
- The underlying problems he identified included
  - ✓ Macroeconomic imbalances
  - ✓ Low productivity of public sector investments
  - ✓ Indiscriminate protection that had weakened the incentive to export
  - ✓ A weak financial system that was not allocating capital efficiently
  - ✓ Lack of domestic competition
  - ✓ Lack of access to the latest technology.

RESULTS OF ECONOMIC REFORMS OF 1991 ARE CLEARLY EVIDENT, WHEN WE LOOK BACK AFTER 30 YEARS!





- Independent India had a severe Balance of Payments crises almost once every decade – 1957, 1966, 1981 and 1990. There has been no comparable crisis over the past 30 years.
- Prior to 1991, economic growth had been held back by four major structural constraints:
  - ✓ Domestic Savings
  - ✓ Foreign Exchange
  - ✓ Food
  - ✓ Aggregate Demand
- There is significant improvement in all these four aspects.

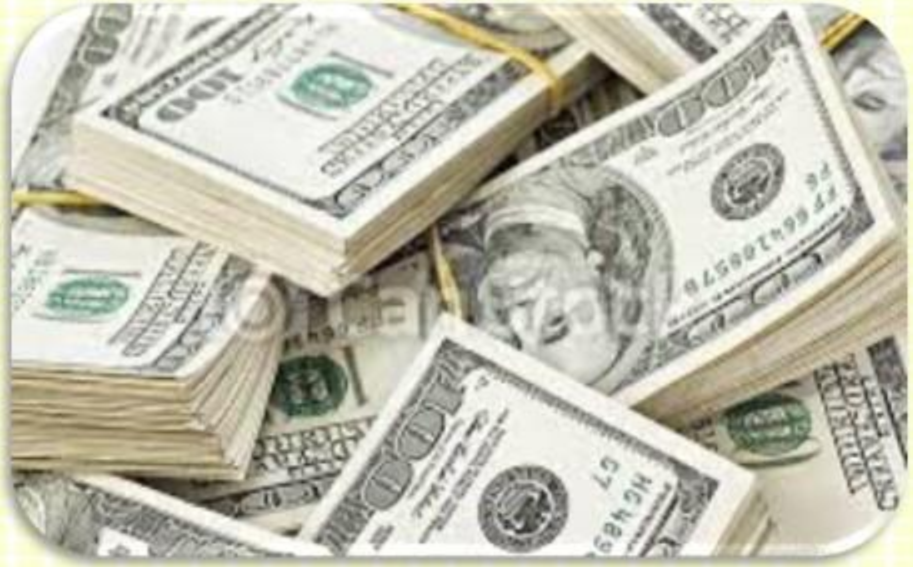
THE FOUR CONSTRAINTS DURING THE STATE CONTROLLED ECONOMY HAVE BEEN OVERCOME DURING THE PAST THREE DECADES!

1 DOMESTIC SAVINGS

- The domestic savings rate to fund domestic investments improved substantially, subsequent to economic reforms.
- However, since the peak of 2008, it came down quite a lot. But still it is almost 8% points higher than the average of the 1980s.

2 FOREIGN EXCHANGE

- Foreign Exchange is no longer a major worry.
- Occasional Balance of Payments surplus in recent years show that India receives more international savings that it can absorb.



THE FOUR CONSTRAINTS DURING THE STATE CONTROLLED ECONOMY HAVE BEEN OVERCOME DURING THE PAST THREE DECADES!

3 FOOD

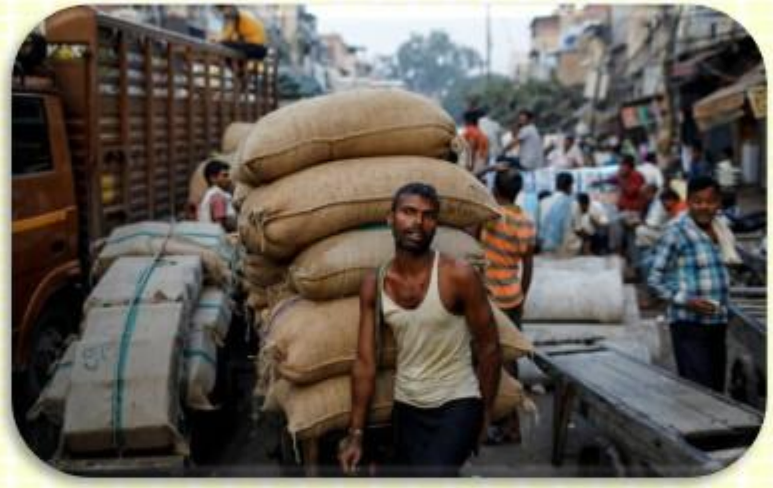
- The problem was eased within two-three decades after the Green Revolution.
- India now has excess food stocks as a buffer against sudden shocks to farm production.

4 AGGREGATE DEMAND

- Prior to economic reforms, it was called the home market problem.
- The meaning was that there was not enough domestic demand for industrial goods because of high poverty levels.
- Rising incomes as well as exports have eased this problem as well.

A more realistic view is that the above mentioned four issues are no longer as dominant as before 1991!

... BUT THESE ASPECTS WERE NOT GIVEN PROPER ATTENTION!



1. Health and education crisis during the Covid pandemic have underlined inadequate investments in human capital.
2. India still does not have adequate state capacity and regulatory capacity for more than $3 Trillion economy.
3. Ecological stress as well as climate change will create new forms of constraints on sustainable economic growth.

JOB CREATION IS ANOTHER AREA WHERE GOVERNMENT FALTERED!

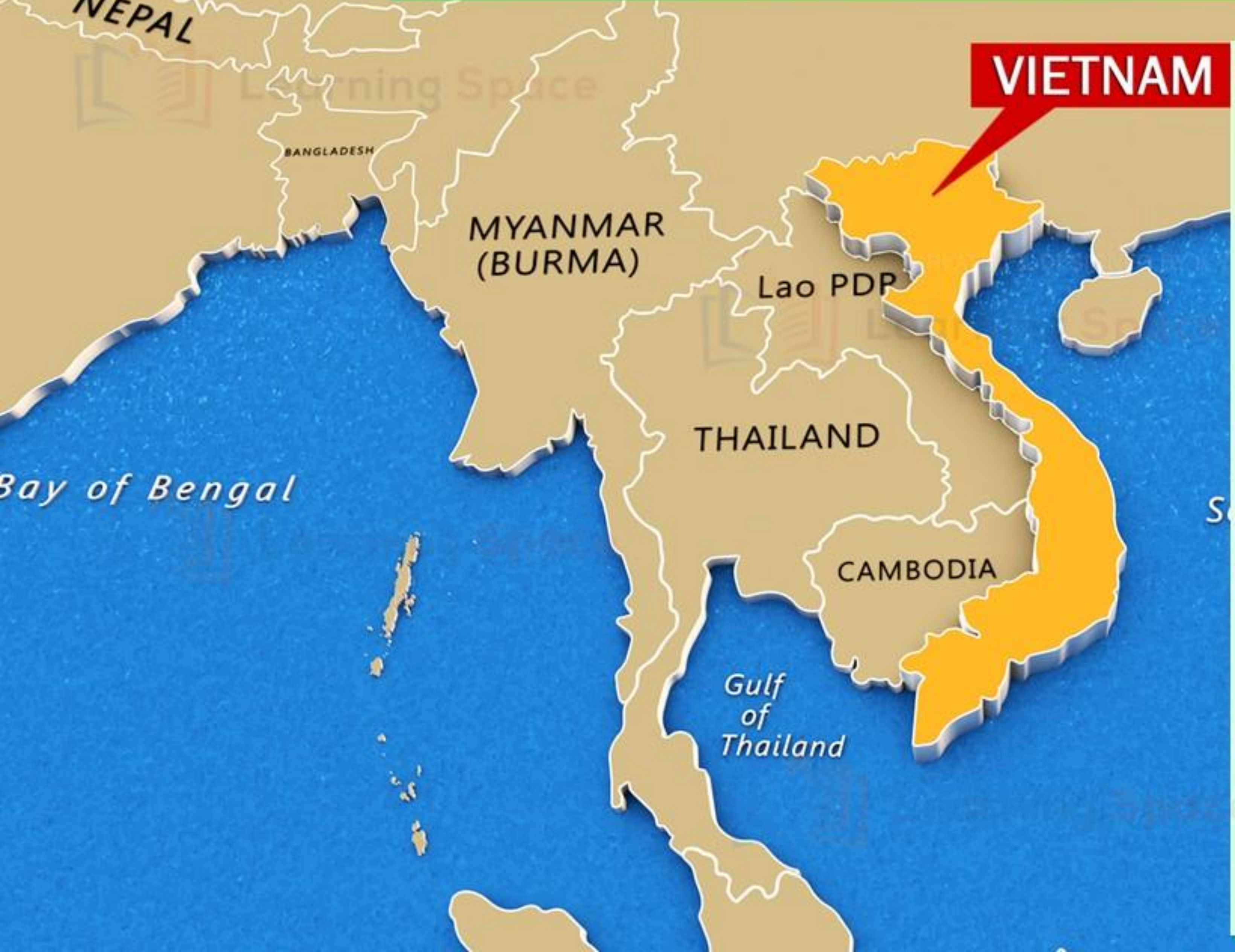
EMPLOYMENT WAS THE THRUST OF THE 1992 BUDGET SPEECH OF THE THEN FINANCE MINISTER Dr. MANMOHAN SINGH!

“Our longer-term objective is to evolve a pattern of production which is labour intensive and generates larger employment opportunities in productive and high income jobs, reduces the disparities in income and wealth between rural and urban areas”, as revealed from the Budget documents.

BUT WHAT HAPPENED IN REALITY?

- The inability to generate enough jobs in the formal enterprises has led to the proliferation of informal employment on one hand, and political pressure to use fiscal resources on subsidies and income support, rather than on the creation of public goods.
- Instead of East-Asian direction, India moved in the direction of Latin America. This is what the policy makers of 1991 reforms have not aspired for!

MEANWHILE VIETNAM IS RACING TOWARDS BECOMING ANOTHER "ASIAN MIRACLE"!



- After World War-II, the Asian miracles – first Japan, then Taiwan and South Korea, most recently China built themselves into manufacturing, export powerhouses. This strategy lifted themselves out of poverty.
- Now Vietnam is following the same path, but, in a much more difficult era.
- For these Asian Miracle countries, during their boom periods, export growth averaged close to 20%.
- Even as the global trade slumped in the 2010s, Vietnam's exports grew 16% a year, three times the emerging World's average!

WE EXPRESS OUR SINCERE THANKS FOR VIEWING THIS VIDEO

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